

Tenet: Favorable Long-Term Prospects

Although automobile insurance is a commodity product, Buffett says a commodity business can make money if it has a cost advantage that is both sustainable and wide. This description aptly fits GEICO. We also know that management in a commodity business is a crucial variable. GEICO's leadership, since Berkshire's purchase, has demonstrated that it, too, has a competitive advantage.

Tenet: Candor

When John (Jack) Byrne took over GEICO in 1976, he convinced both insurance regulators and competitors that if GEICO went bankrupt, it would be bad for the entire industry. His plan for rescuing the company included raising capital, obtaining a reinsurance treaty with other companies to reinsure a portion of GEICO's business, and cutting costs aggressively. "Operation Bootstrap," as Byrne called it, was the battle plan aimed at returning the company to profitability.

In his first year, Byrne closed 100 offices, reduced employment from 7,000 to 4,000, and turned in GEICO's license to sell insurance in both New Jersey and Massachusetts. Byrne told New Jersey regulators he would not renew the 250,000 policies that were costing the company \$30 million a year. Next, he did away with the computerized systems that allowed policyholders to renew their insurance without providing updated information. When Byrne required the new information, he found the company was underpricing 9 percent of its renewal policies. When GEICO repriced them, 400,000 policyholders decided to discontinue their insurance. Altogether, Byrne's actions reduced the number of policyholders from 2.7 million to 1.5 million, and the company went from being the nation's 18th largest insurer in 1975 to 31st a year later. Despite this reduction, GEICO, after losing \$126 million in 1976, earned an impressive \$58.6 million on \$463 million in revenues in 1977, Byrne's first full year of responsibility.

Clearly, GEICO's dramatic recovery was Byrne's doing, and his steadfast discipline on corporate expenses sustained GEICO's recovery for years. Byrne told shareholders that the company must return to its first principle of